



“All decisions on spectrum licensing have been taken in accordance with procedures and in consultation with the prime minister.”

A. RAJA,
TELECOM MINISTER

Officials of the Department of Telecommunications in criminal conspiracy with private persons/companies by abusing their position granted Unified Access Service (UAS) licences to a few selected companies at a nominal rate by rejecting applications of others without any valid reason thereby causing wrongful loss to the Government of India and a corresponding gain to private persons/companies estimated to be more than Rs 22,000 crore.

TRAI ON SPECTRUM AUCTION

In August 2007, the telecom watchdog said, “In 2G bands (800, 900, 1800 MHz) the allocation through auction may not be possible as the service providers were allocated spectrum at different times of their licence and the amount of spectrum with them varies. Keeping in view the objective of growth, affordability and penetration of wireless services in semi-urban and rural areas, the Authority

is not in favour of changing the spectrum fee regime for a new entrant. Opportunity for equal competition has always been one of the prime principles of the Authority in suggesting a regulatory framework in telecom services. Any differential treatment to a new entrant vis-a-vis incumbents in the wireless sector will go against the principle of level playing field.”

2001: A LICENCE ODYSSEY

- It is not just Swan and Unitech who had been allotted licences at the 2001 prices.
- Between 2003 and April 2004, the NDA issued 24 licences at 2001 price to Tata Teleservices, Bharti Airtel, Vodafone and Dishnet Wireless.
- During the UPA regime 145 licenses have been issued for various circles at the 2001 price set as the benchmark by the 2003 NDA GoM.

PRICING OF SPECTRUM

November 22, 2007

Finance Secretary D. Subbarao to the DoT

“It is not clear how the rate of Rs 1,600 crore, determined as far back as in 2001, has been applied for a licence given in 2007 without any indexation, let alone current valuation.”

November 29, 2007

D.S. Mathur, Secretary DoT to Finance Secretary

“A cabinet decision of 31 October, 2003 had accepted the recommendations of the GoM on telecom matters where it was decided that the recommendations of TRAI with regard to implementation of Unified Access Licensing Regime for basic and cellular services be accepted. TRAI in its recommendations dated 28th August 2007 has not recommended any changes in entry fee/annual license fee and hence no changes were considered in the existing policy.”

FIRST-COME FIRST-SERVED



- The first-come, first-serve system is an outcome of the UAS licence created by the NDA to retrofit the controversial Reliance Infocom services.
- It was sanctioned by a GoM that included Arun Shourie, Jaswant Singh, George Fernandes, Arun Jaitley and Ravi Shankar Prasad.
- On November 24, 2003, the ministry ruled that new UAS licences would be issued on a first-come, first-serve basis and added that “allotment of spectrum, however, would depend on availability”.